PhonePe

2 July 2022

To,
Ishita Rajvaidya
Bangalore

Dear Ishita Rajvaidya,

Further to our offer and your acceptance thereof, we have pleasure in appointing you as Site Reliability Engineer 1 at our Bangalore, Karnataka, India office effective 12 July 2022.

Your annual total cash compensation will be INR 19,85,000 [Rupees Nineteen Lakhs Eighty Five Thousands Only].

In case you choose to leave PhonePe within 12 months from date of joining then all the relocation expenses incurred on actuals will be recovered in you full and final settlement. These relocation expenses include the travel and accommodation expenses incurred towards you and family, expenses towards local conveyance and movement of goods.

Your Employment shall be "at will," meaning that either you or the Company shall be entitled to terminate your Employment at any time and in a manner specified below for any reason, with or without Cause. Any contrary representations that may have been made to you shall be superseded by this Agreement. This Agreement shall constitute the full and complete agreement between you and the Company on the "at-will" nature of your Employment, which may only be changed in an express written agreement signed by you and a duly authorized officer of the Company.

Your employment may be terminated at the instance of either party only by giving to the other party One calendar months" prior written notice provided that the Company may if it shall so choose pay One calendar months" prior written notice or salary in lieu thereof.

This offer of appointment is subject to positive feedback on your reference checks and conditional upon successful background checks (which may include criminal checks, verification of previous employment, education verification, credit check and appropriate identification verification) being conducted either by PhonePe or an appropriate third party, and the results of such background checks being favorable in PhonePe's reasonable opinion. If this condition is not satisfied, then this offer of appointment will be void or will become void, on notice by PhonePe. If the terms & conditions are acceptable to you, kindly send us an acceptance mail at the earliest and confirm your date of joining.

You may be required to work from Monday to Friday or Monday to Saturday as per company policy applicable to your area of function, for such hours as are necessary to suit the Company's requirements and for the proper discharge of the Employee's duties. You may also be required to attend duties on Public Holidays as per the exigencies of work. However, the maximum number of working hours per week shall not exceed the provisions of the applicable law. In the event that you are required to work for more than 48 hours in a week, you shall be informed of the same by your immediate supervisor.

You represent and warrant to the Company that you are under no obligations or commitments, whether contractual or otherwise, that are materially inconsistent with your obligations under this Agreement. In connection with your Employment, you shall not use or disclose any trade secrets or other proprietary information or intellectual property in which you or any other person has any right, title or interest and your Employment will not infringe or violate the rights of any other person. You represent and warrant to the Company that you have returned all property and confidential information belonging to any prior employer, other than confidential information that has become generally known to the public or within the relevant trade industry.

You shall serve the Company in India in connection with the business either of the Company or one of the Associated Companies as the Company may at any time or from time to time direct. ("Associated Companies" shall mean and include any and every Company in which at least 25% in the aggregate of the Ordinary Share Capital is for the time being held by or in the beneficial ownership of the Company and/or any of its associated companies)

You shall not have any claim whatever against the Company or any of its Associated Companies for any extra service, unless for such payment (if any) as may have been expressly agreed to in writing prior to such services being rendered.

During the employment period, if you are required to travel or stay outside your location specified above, you shall be entitled to reimbursement of reasonable expenses as per the travel policy of the Company, applicable from time to time.

You shall not, during the continuance of this engagement, be engaged, concerned, or interested directly or indirectly, in any other occupation, business or employment whatever without the previous consent in writing of the Company, but shall devote your time, attention and abilities exclusively to the performance of your duties hereunder and shall in all respects obey and conform to the Company"s orders and regulations, and well and faithfully serve the Company, and use best endeavors to promote the interests hereof, and of the business in which you shall for the time being be engaged. During such time as you may be engaged in connection with the business of any of the Associated Companies you shall at all times readily conform to obey and execute all lawful orders which may be issued to you by such Associated Company.

You shall not, unless directed by the company, either during the continuance of this engagement or thereafter disclose, divulge, or communicate to any person or persons whatsoever any information of a secret or confidential character relating to the trade or business of the Company or of the Associated Companies or to the strategies, plans, methods, process, appliances, machinery or plant used by them, or by any of them or to any activities or experiments made by them, or any of them, or by any persons in their employ, or relating to the prices paid or charged by, or the customers or suppliers of the Company or its Associated Companies.

All Intellectual Property rights in any work or material developed/co developed/conceptualized directly or indirectly by you during the course of your employment shall be considered „Works made for Hire" under the Intellectual Property laws and shall belong to and be the property of the Company and you confirm and accept that you shall not be entitled to claim any rights over any such Intellectual Property. If required by the Company, during or after the Employment Period, you shall assign and transfer in favour of the Company or, at the request of the Company, in favour of any of its subsidiary, affiliate or customers, all Intellectual Property rights in such works or materials and shall execute such deeds and documents, as the Company may require, to effectually vest in the Company, any of its subsidiary, affiliate or customers as the Company may require, any and all Intellectual Property rights and benefits in such works or materials. In performance of your duties and responsibilities you shall not use or infringe any intellectual Property or rights of the Company or of any other third party/s.

You shall, at the request and cost of the Company, take all necessary steps to procure the granting of Letters of Patent in India and similar protection abroad in the Joint names of the Company and yourself in respect of such invention, and upon such Letters of Patent and/or similar protection being granted, shall, at the request and cost of the Company, execute all assignments, licenses, and other documents required by the Company to deal with the said Letters of Patent and/or similar protection in such manner as the Company may think fit. Should the Company so desire the said invention shall not be made the subject of Letters of Patent or similar protection, but shall be worked by the Company, and all or any of its Associated Companies as a secret process, and in such case you undertake not to disclose, divulge or communicate any information relating to such invention to any other person or persons whatsoever.

All the provisions hereinbefore contained regarding any invention or patent shall apply to any design which during the continuance of this Agreement, you shall become entitled to register, the registration thereof being deemed to be equivalent to the grant of Letters of Patent, and any other necessary changes being made.

If at any time hereafter it shall be agreed between the Company and yourself that an alteration shall be made in your salary, duties or place of employment, such alteration shall not affect the other terms of this Agreement, except as may be expressly agreed on.

You shall not do or indulge in any of the following, without the prior written consent of the Company:

(a) Compete: During the Employment Period and for a period of at least 6 (Six) months after the Employment Period, you shall not directly or indirectly carry on, assist, engage in, be concerned or participate in any business/activity (whether directly or indirectly, as a partner, shareholder, principal, agent, director, affiliate, employee, consultant or in any other capacity or manner whatsoever) which is similar to the business of the Company nor engage in any activity that conflicts with your obligations to the Company.

(b) Solicit Business: During the Employment Period and for a period of at least two (2) years after the Employment Period, you shall not solicit, endeavor to solicit, influence or attempt to influence any client, existing or prospective customers or other person, directly or indirectly, to purchase his product in lieu of Company"s products and/or services, to any person, firm, corporation, institution or other entity in competition with the business of the Company.

(c) Solicit Personnel: During the Employment Period and for a period of at least two (2) years after the Employment Period, you shall not solicit or attempt to influence any person employed or engaged by the Company (whether as an employee, consultant, advisor or in any other manner) to terminate or otherwise cease such employment or engagement with the Company or become the employee of or directly or indirectly offer services in any form or manner to himself or any person or entity which is a competitor of the Company.

You acknowledge and agree that the compensation stated in Annexure I of this appointment letter is sufficient consideration for you to agree to non-compete and non-solicitation

You will not borrow or accept any money, gift, reward or compensation for your personal gains from or otherwise place yourself under pecuniary obligation to any person/client with whom, you may be having official dealings.

You acknowledge and agree that violation of the covenants and obligations with respect to non-compete and non-solicitation as set forth above will cause the Company, irreparable injury. Therefore, you agree that the Company shall be entitled to an interim injunction, restraining order or such other equitable relief as a court of competent jurisdiction may deem necessary or appropriate to restrain you from committing any violation of the covenants and obligations. These injunctive remedies are cumulative and are in addition to any other rights and remedies that the Company may have against you as provided under laws.

You will have access to the employee portal which will have Company"s Code of Conduct, Privacy Policy Guide, IT Usage Policy, Safety and Environment policy and other policies of the company. You are required to go through the same and understand them. You agree to abide by the principles set out in the document, breach of which, can have serious consequences including dismissal from service.

If you are at any time found to be guilty of misconduct, commit any breach of this Agreement, or refuse or willfully neglect to perform to the satisfaction of the Company or any of the Associated Companies in connection with whose business you may be engaged all or any of the duties devolving upon you under this Agreement, the Company may at once, without any previous notice, terminate your appointment. Unless in case of earlier termination of this appointment due to a plausible cause, you shall retire on your 60th birthday or the day immediately preceding such date, if your birthday does not fall on a working day.

This Agreement and all of your rights and obligations hereunder are personal to you and may not be transferred or assigned by you at any time. The Company may assign its rights under this agreement to any entity that assumes the Company's obligations hereunder in connection with any sale or transfer of all or a substantial portion of the Company's assets to such entity.

No provision of this Agreement shall be modified, waived or discharged unless the modification, waiver or discharge is agreed to in writing and signed by you and by an authorized officer of the Company (other than you). Notwithstanding the above, in the event of a change in role, grades, promotions or other changes made in your employment and informed to you by the authorised officer of the Company, the applicable policies to such change in role, grades, promotion or other employment changes (for e.g. Notice Policy, Reimbursement Policy) shall apply to you from the effective date of such change. To that extent, such change in applicable policies will be considered an amendment of this Agreement and your continued employment will be constituted as agreement to applicable policies from time to time.

No waiver by either party of any breach of, or of compliance with, any condition or provision of this Agreement by the other party shall be considered a waiver of any other condition or provision or of the same condition or provision at another time.

If you agree to these terms and conditions, may we request you to sign the copy of this letter in token of your acceptance.

Yours sincerely,

For PhonePe Private Limited

DocuSigned by:
Anu Kaushik
9158957E832240D...
02-Jul-2022 | 9:54 PM PDT

Anu Kaushik
HR Business Partner

I accept the above terms and conditions and shall abide by them.

Signature

Name Ishita Rajnaidya

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PhonePe

FAQ on PhonePe ESOP Plan

Q1. What is the current price of the PhonePe option?

The current value of PhonePe option is USD 70.26, however this may be revised periodically based on the change in valuation of the company.

Q2. Can you explain the terms Grant, Vesting & Exercise?

- Grant means the grant of PhonePe Options to an employee (referred as „Option Grantee") under the PSOP.
- PhonePe Option means an option Granted to an Option Grantee pursuant to the PSOP, each of which gives such Option Grantee the right, but not an obligation, to purchase or subscribe for one Share.
- Exercise is the fulfilment of the right whereby the option holder gets the option converted into a share by paying the exercise price.

Q3. What does the PhonePe stock option mean ?

Each PhonePe option that you are granted will entitle you, on exercise, to acquire one share of PhonePe Private Limited (Singapore)

Q4. What is the current exercise price ?

The current exercise price is Zero, you will not have to pay anything while exercising PhonePe vested options.

Q5. What are the vesting conditions of the options

The vesting schedule and other conditions for the options will be as laid out in the stock agreement letter issued to you.

Q6. What is the expiry date of PhonePe ESOPs?

All PhonePe ESOPs will expire in 10 years from the date of grant

Q7. Will ESOP Grants be taxed ?

As per Indian income-tax laws, any tax resident in India will be subject to tax on ESOPs as follows:

- On Grant : No Tax
- On Vesting : No Tax
- On Exercise of Options : Taxable as salary (perquisite) - the difference between the Fair Market Value (on exercise date) and exercise price is taxed as perquisite. The employer (PhonePe) will deduct tax (TDS) on this perquisite. This amount will be shown in the employee"s Form 16 and would need to be included as part of total income from salary in the tax return
- On sale of shares : The proceeds of the sales would be treated as capital gains at applicable rates. Capital gain is calculated as follows - Consideration on sale of shares less cost (i.e. fair market value treated as perquisite on exercise and subject to tax as salary). Tax rate for capital gains would depend on the period of holding of shares.

Q8. When can I sell my shares ?

- Once the options have vested you can sell the shares only on the listing of the company or during other liquidity window events before listing, that the Company may declare.
- You will be provided with access to an online portal to access your options

Q9. What happens if an employee is on sabbatical leave ?

If an employee is on sabbatical all vested options till the day of sabbatical will remain as is, vesting of remaining options will pause and will resume from the day the employee has joined back the organization post sabbatical.

Q10. What happens to my options in case of my death, incapacitation or termination ?

- In the event of the death of an employee while in employment, all the options granted to him/her till such date shall vest in the legal heirs or nominees of the deceased employee.
- In case the employee suffers a permanent incapacity while in employment, all the options granted to him/her as on the date of permanent incapacitation, shall vest on that day.

- In the event of separation from PhonePe, all options unvested for an employee as on that day shall expire. The vested options will continue to be held by the employee (till the date of expiry of the ESOPs), unless found to be guilty of grave misconduct or moral turpitude (fraud, dishonesty, sexual harassment and other offences of a grave nature committed whilst at the Company).
- The company withholds the right to clawback any gains made by the employee through the ESOP program or cancel the vested options if the employee is found guilty of misconduct, moral turpitude or non-adherence to the clauses in the appointment letter and employment agreement.